

income. The fact is that the super-affluent got to that position by being masters at minimizing their realized income.

Ross Perot is the perfect example of how the super-affluent stay affluent and even enhance their levels of wealth year after year. *Forbes* recently estimated that Mr. Perot's net worth was \$2.4 billion (see Randall Lane, "What's Ross Perot Really Worth," *Forbes*, October 19, 1992, p. 72). The Citizens for Tax Justice, a tax reform group headquartered in Washington, D.C., estimated that Perot's annual realized income in 1995 was approximately \$230 million. Thus, he realized the equivalent of 9.6 percent of his wealth but paid only \$19.5 million in tax, or 8.5 percent of his income (see "How Perot Caps His Rising Taxes at Only 8.5%," *Money*, January 1994, p. 18). Compare this figure with the 31.6 percent of their income paid in tax by Barbara, Sharon, and many others in their income category (see [Table 2-3](#)).

How does Mr. Perot end up paying such a small percentage of his income in tax? According to a recent newspaper report:

Perot... minimizes his tax bill by investing heavily in taxfree municipals, tax-sheltered real estate, and stocks with unrealized gains (Tom Walker, "Perot's Tax Rate Is Lower Than Most, Magazine Says," Atlanta Journal-Constitution, Dec. 30, 1993, p. 1).

Of particular interest, Perot's tax rate as a percentage of his income—that is, 8.5 percent—is lower than that of the average American household. The average household in this country pays \$4,248 in federal income tax each year, or the equivalent of 12.9 percent of their annual realized income of \$32,823. Perot is super-affluent in terms of accumulated wealth, but he has less than the common man's marginal tax liability.

Even more interesting than the percentage of income paid in taxes is the percentage of wealth paid in taxes. The typical American household has a total net worth, including equity in the home, of \$36,623. They pay the equivalent of 11.6 percent of their net worth in income tax. What about Mr. Perot, the billionaire? In one year, it is estimated, he paid the equivalent of only 0.8 percent of his wealth in tax. In terms of income tax paid as a percentage of wealth, the typical household paid 14½ times more.